

the value of the property pledged behind them. The principal is usually repayable in 15 equal annual installments, beginning one year from issuance, so that the amount of the debt is reduced more rapidly than ordinary depreciation would require.

The protection accorded the equipment-trust holder by these arrangements has been somewhat diminished in recent years, due partly to the drop in commodity prices which has brought reproduction (and therefore, salable) values far below original cost, and also to the reduced demand for equipment, whether new or used, because of the smaller traffic handled. Since 1930 certain railroads in receivership (*e.g.*, Seaboard Air Line and Wabash) have required holders of maturing equipment obligations to extend their maturities for a short period or to exchange them for trustee's or receiver's certificates carrying a lower coupon. In the unique case of one Florida East Coast Railway issue (Series "D") the receivers permitted the equipment-trust holders to take over and sell the pledged equipment, which seemed to have been less valuable than that securing other series. In this instance the holders realized only 43 cents on the dollar from the sale and have a deficiency judgment (of doubtful value) against the road for the balance. These maneuvers and losses suggest that the claim of "almost absolute safety" frequently made in behalf of equipment issues will have to be moderated; but it cannot be denied that this form of investment enjoys a positive and substantial advantage through the realizability of the pledged assets.² (This conclusion may be supported by a concrete reference to the sale in November 1939 of Chicago and North Western new Equipment Trust 2¹/₂s, due 1940–1949, at prices to yield only from 0.45 to 2.35%, despite the fact that all the mortgage issues of that road were then in default.)

2. Collateral-Trust Bonds. Collateral-trust bonds are obligations secured by the pledge of stocks or other bonds. In the typical case, the collateral consists of bonds of the obligor company itself, or of the bonds or stocks of subsidiary corporations. Consequently the realizable value of the collateral is usually dependent in great measure on the success of the enterprise as a whole. But in the case of the collateral-trust issues of investment companies, a development of recent years, the holder may be said to have a primary interest in the market value of the pledged securities, so that

² See Appendix Note 18 for comment and supporting data.